

SUMMARY

Yesterday's FOMC meeting under new Fed Chair Kevin Warsh delivered no rate move as expected, but what caught markets off guard was the hawkish tone embedded in the dot plot. Nine of eighteen members now project at least one rate hike by year end, with six calling for two. Bond markets responded immediately with the front end selling off hard and the two year yield rising nearly 80 basis points on the session. Equities followed, with the S&P 500 closing down 1.21% and the Nasdaq off 1.34%. Overnight, the Iran peace deal was signed and ships are moving through the Strait of Hormuz again, pushing crude lower and sending buyers into the long end of the Treasury market. That adds a wrinkle to the inflation picture, but equities are not buying the relief narrative yet. For now, markets are simply pricing in a Fed with a hawkish outlook for the year ahead.

OVERNIGHT MACRO

- U.S. Equities: Dow 51,492 -0.98%, S&P 500 7,420 -1.21%, Nasdaq 26,022 -1.34%, Russell 2000 2,918 -0.72%. Broad selloff post-Fed hawkish dot plot.
- Europe: Mixed. DAX +0.19%, CAC +0.16%, Euro Stoxx +0.19%. FTSE 100 -1.00%. Iran deal providing modest relief to European markets.
- Iran: Peace deal signed overnight. Strait of Hormuz reopening. Oil sliding hard but risk-off tone in equities persisting.
- VIX: 17.04, down 7.54%. Elevated but off highs.

FED WARSH DEBUT

- Held at 3.50-3.75%, unanimous 12-0 vote.
- Dot plot: 9 of 18 members projecting at least one hike in 2026. 6 projecting two hikes.
- Median 2026 rate forecast revised to 3.8%, up from 3.4% in March.
- PCE forecast raised to 3.6% year-end, up from 2.7% in March.
- FedWatch: ~61% probability of a hike by October.
- Warsh dropped forward guidance language. Shorter statement. Five task forces announced to overhaul Fed communications, balance sheet, and inflation measurement.

Key Watch: The dot plot is the story, not the hold. Half the committee is now leaning toward tightening. The question heading into summer is whether the Iran oil disinflationary shock gives Warsh room to pause or whether the labor market keeps the hike on the table.

RATES & CREDIT SNAPSHOT

Instrument	Level	Change	Note
2Y Treasury	4.196%	+0.79%	Front end selling off market pricing hike risk
5Y Treasury	4.254%	+0.59%	Medium-term expectations repricing higher
10Y Treasury	4.450%	-0.16%	Long end catching a bid post-Iran deal
30Y Treasury	4.878%	-0.99%	Bull flattening at the long end
Fed Funds (Current)	3.50-3.75%	Hold	Unanimous no surprise

Front end selling off while the long end catches a bid the curve is reading the Iran deal as disinflationary at the long end while hike risk keeps the 2Y elevated. Watch the 2s10s spread into the close.

SECTOR & INDUSTRY PERFORMANCE (JUNE 17 CLOSE)

Sector	ETF	Change	Read
Industrials	XLI	-0.25%	Least damaged defensive rotation holding
Financials	XLF	-0.30%	Rate hike risk providing modest support
Technology	XLK	-0.64%	Selling pressure but contained
Utilities	XLU	-0.60%	Rate-sensitive, feeling the front-end move
Energy	XLE	-0.69%	Iran deal weighing on oil names
Real Estate	XLRE	-1.13%	Rate-sensitive hike risk hitting hard
Health Care	XLV	-2.23%	No clear catalyst, broad risk-off
Cons. Staples	XLP	-1.91%	Defensive but not immune
Cons. Discretionary	XLY	-2.97%	Rate-sensitive consumer spending concerns
Communications	XLC	-3.12%	Worst sector on the day

INDUSTRY MOVERS

Industry	ETF	Price	Change
Semiconductors	SMH	623.97	+7.97 standout green, SpaceX rebalancing abating
Biotech	IBB	173.44	+2.00 defensive bid
Oil Services	OIH	397.12	-9.07 Iran deal destroying the trade
Internet	FDN	262.76	-7.83 growth names under pressure
Gold Miners	GDX	84.36	-2.88 gold selloff flowing through
Homebuilders	ITB	95.79	-2.47 rate hike fears hitting housing
REITs	VNQ	95.61	-2.45 rate-sensitive, no shelter here
Regional Banks	KRE	71.15	-1.34 credit concerns emerging
Oil & Gas E&P	XOP	155.75	-1.42 following crude lower

Key Takeaway: OIH -9.07 is the single biggest story in the industry tape. The Iran deal is nuking oil services far more aggressively than headline crude. SMH +7.97 is the counterintuitive green likely SpaceX index rebalancing pressure abating. Communications and Cons. Discretionary leading the sector weakness tells you this is a rate and growth repricing, not just an energy story.

COMMODITIES

Commodity	Price	Change	Note
WTI Crude	\$75.29	-1.95%	Iran Strait of Hormuz reopening driving selloff
Brent Oil	\$78.53	-1.28%	Following WTI lower
Gold	\$4,284	-2.21%	Dollar strength and risk-off weighing
Silver	\$68.25	-3.56%	Metals broadly under pressure
Natural Gas	\$3.162	+0.54%	Decoupled from oil modest bid

EVENTS TO WATCH

- **Accenture (ACN) & Kroger (KR) earnings:** ACN is a read on corporate IT spend. KR is a direct read on the lower-to-middle income consumer under elevated inflation.

- **Triple witching:** Quarterly expiration of stock options, index options, and futures. Expect elevated intraday volatility. Mechanical flow, not a macro signal.
- **Oil headlines:** Any Iran deal implementation news reprices crude immediately, which flows into inflation expectations and rate pricing.
- **Markets closed Friday:** Juneteenth. Three-day weekend ahead expect position squaring into the close.